

Pearson Edexcel Mark Scheme

Predicted Paper — For revision purposes only

Level 3 GCE Economics A (9EC0)

Paper 1: Markets and Business Behaviour — 9EC0/01 — Paper 2 — Moderate

Total: 100 marks

General Marking Guidance

- All candidates must receive the same treatment. Mark schemes should be applied positively, rewarding candidates for what they have shown they can do.
- All marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Crossed-out work should be marked UNLESS the candidate has replaced it with an alternative response.
- Accept any equivalent wording and alternative valid approaches not explicitly listed in the indicative content.

Assessment Objectives

AO1 Demonstrate knowledge of terms, concepts, theories and models.

AO2 Apply knowledge and understanding to various economic contexts.

AO3 Analyse issues within economics, using chains of reasoning.

AO4 Evaluate economic arguments and use evidence to support informed judgements.

Marking grids are organised as KAA (AO1+AO2+AO3) and Evaluation (AO4).

Level Descriptors

8-mark "Examine" (KAA = 5, Evaluation = 3)

Level	KAA marks	Descriptor
L1	1–2	Isolated element of knowledge; limited application.
L2	3–4	Sound knowledge applied with some development; at least one chain of reasoning.
L3	5	Accurate detailed knowledge fully applied; developed chains.

10-mark "Assess" (KAA = 6, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak application.
L2	3–4	Sound theory applied to context.
L3	5–6	Accurate detailed theory, well applied; developed chains.

12-mark "Discuss with diagram" (KAA = 8, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak or missing diagram.
L2	3–5	Sound knowledge; reasonable diagram; some application.

Level	KAA marks	Descriptor
L3	6–8	Accurate knowledge; correctly labelled diagram; developed chains.

15-mark "Discuss" (KAA = 9, Evaluation = 6)

Level	KAA marks	Descriptor
L1	1–3	Limited knowledge; weak application.
L2	4–6	Sound knowledge with application; some development.
L3	7–9	Accurate detailed knowledge; developed chains; relevant diagrams.

25-mark Essay "Evaluate" (KAA = 15, Evaluation = 10)

Level	KAA marks	Descriptor
L1	1–5	Limited knowledge; basic theory.
L2	6–9	Sound theory applied to context.
L3	10–12	Accurate detailed theory, well applied; relevant diagrams.
L4	13–15	Comprehensive, sophisticated theory; diagrams used analytically.

25-mark Essay evaluation grid (AO4)

Level	Eval marks	Descriptor
L1	1–3	Assertion without support.
L2	4–6	Supported evaluation; some judgement.
L3	7–8	Developed evaluation; reasoned judgement.
L4	9–10	Sophisticated evaluation with prioritised judgement.

Section A — Questions 1 to 5

Question 1 (5 marks) — UK macroeconomic data 2021–2024

Q	Indicative content	Marks
1(a)	Answer: A — Disinflation. CPI inflation fell from 9.1% in 2022 to 2.6% in 2024 — a slowing of the inflation rate while prices continued to rise. 'Disinflation' is the technical term for a falling rate of inflation that remains positive. Distractors: B Deflation requires a negative inflation rate (prices actually falling) — not what the data show; C Hyperinflation refers to extremely high and accelerating inflation (typically >50% per month) — far from the UK situation; D Stagflation combines high inflation with stagnant growth and rising unemployment — 2022 had high inflation but real GDP still grew; by 2024 inflation had fallen, so the pattern is disinflation not stagflation.	1
1(b)	Context for markers: between 2022 and 2024 the Bank of England raised the Bank Rate from around 0.75% to a peak of 5.25% (Aug 2023), with modest cuts starting in 2024. Candidates are expected to apply the theory of monetary transmission to the housing market — full marks for correct analysis even if they do not recite precise Bank Rate values. Accept up to TWO linked points on the housing market, each worth two marks (definition/application + chain): Higher mortgage rates reduce housing affordability; fewer households can satisfy lender stress tests; demand for housing falls → nominal house price growth slows or prices fall; fewer transactions; falling housing market activity (2). Households on variable-rate mortgages, or rolling off fixed deals, face sharply higher monthly payments → reduced disposable income → reduced willingness to move or trade up → further reduction in demand (2). Accept alternatives: rental market effects (higher buy-to-let financing costs pushed up rents); impact on first-time buyers; impact on new-build construction; regional variation; modest rate cuts in 2024 provided limited relief because most mortgages had already re-fixed at higher rates.	4

Question 2 (5 marks) — Bank Rate cut in 2025

Q	Indicative content	Marks
2(a)	Lower Bank Rate reduces the cost of consumer borrowing and lowers returns on saving (1); this stimulates consumption and investment via the interest-rate channel, shifting AD to the right (1). Accept: exchange-rate channel — lower rate weakens sterling, raises net exports; wealth channel — lower rates raise asset prices; expectations channel — if viewed as dovish, raises inflation expectations.	2
2(b)	Lower rates reduce firms' cost of capital (1); more investment projects meet the required hurdle rate of return, so planned business investment rises (1). Accept: improved business confidence; lower cost of corporate borrowing; cheaper financing of inventories and working capital.	2
2(c)	Answer: B — depreciate. Lower UK interest rates reduce the attractiveness of holding sterling assets relative to foreign assets, reducing net portfolio inflows	1

Q	Indicative content	Marks
	and weakening sterling (uncovered interest parity). Distractors: A reverses the direction (a rate rise would tend to appreciate sterling, not a cut); C 'become fully convertible' is unrelated — sterling is already fully convertible on the current and capital account; D 'leave the floating exchange-rate regime' would require a policy decision to peg or fix sterling, which a rate change alone cannot cause.	

Question 3 (5 marks) — UK government net borrowing

Q	Indicative content	Marks
3(a)	Answer: B — the difference between government revenue and spending in a period. Net borrowing is the annual flow that measures the shortfall of receipts against total spending over the period (typically a fiscal year). Distractors: A total government debt is the accumulated stock resulting from past borrowing, not a single-period flow; C net borrowing funds all spending (current and capital), not capital projects only; D interest payments are a component of total spending — a line item — not the definition of net borrowing.	1
3(b)	Diagram (2): upward-sloping SRAS, downward-sloping AD; show AD shifting right from AD_1 to AD_2 following the rise in G; new equilibrium at higher price level P_2 and higher real output Y_2. Analysis (2): borrowing-funded spending is a direct injection into the circular flow. Via the multiplier ($1/(1-MPC)$), initial government spending generates subsequent rounds of induced consumption, raising real GDP in the short run. The magnitude depends on the size of the output gap, the multiplier, crowding-out of private investment, and import leakages.	4

Question 4 (5 marks) — UK current-account deficit

Q	Indicative content	Marks
4(a)	Accept ONE developed policy. Award 2 marks for policy identification and 2 marks for mechanism/chain. Example 1: Contractionary fiscal policy. Raise taxes or cut spending → reduces disposable income and AD → reduces demand for imports (income-elastic) → improves trade balance (Marshall-Lerner condition). Example 2: Supply-side policy to improve competitiveness. Investment in skills / R&D / infrastructure → raises labour productivity → lowers unit labour costs → makes UK exports more price-competitive. Example 3: Engineered currency depreciation / relaxed monetary policy. Lower interest rates → weaker sterling → cheaper exports, dearer imports → improved trade balance (subject to Marshall-Lerner). Accept: targeted export-promotion policy, import tariffs (with evaluation of WTO / retaliation risk).	4
4(b)	Answer: B — a rise in export competitiveness. Improved competitiveness (via productivity growth, lower unit labour costs, or favourable exchange-rate movement) raises export volumes and the share of domestic demand met by	1

Q	Indicative content	Marks
	home-produced goods, directly narrowing the trade component of the current account. Distractors: A a rise in the real exchange rate makes UK goods dearer abroad and foreign goods cheaper in the UK — widens, not reduces, the deficit; C higher real household incomes raise import demand (income effect), widening the deficit; D import tariffs imposed by trading partners make UK exports more expensive in those markets, reducing UK export volumes and worsening the deficit.	

Question 5 (5 marks) — Raising UK long-run trend growth

Q	Indicative content	Marks
5(a)	Answer: C — Increased investment in education and research & development. These raise human capital and productivity, shifting the LRAS curve rightward and raising potential output. Distractors: A affects AD in the short run but does not directly raise LRAS; B creates a disincentive to work and may reduce labour supply; D reduces consumption and AD but does not raise productive capacity.	1
5(b)	Accept ONE developed supply-side policy (definition + chain, 2 marks each for two linked points, up to 4): Infrastructure investment: public capital spending on transport, digital networks and energy reduces firms' costs and raises productivity. Chain: lower logistics costs → higher competitiveness → higher potential output → LRAS shifts right. Skills and training: raises human capital, reduces structural unemployment, raises labour productivity. Deregulation / planning reform: lowers barriers to entry, raises contestability in goods/labour markets, improves allocative efficiency. Tax reform: cutting corporation tax raises post-tax return on capital → higher investment → larger capital stock → higher productive capacity. Accept: R&D tax credits, apprenticeships policy, immigration reform, childcare provision to raise participation.	4

Section B — Question 6: The UK's post-pandemic recovery

6(a) — Cause of weakness in UK post-pandemic recovery (5 marks)

Indicative content (KAA 4 / Eval 1). Accept ONE fully developed cause, supported by evidence from Figure 1 and Extract A.

Acceptable causes include: (i) weak business investment — lag behind G7, reflecting Brexit-related uncertainty and rising input costs; (ii) energy-price shock after Russia's 2022 invasion of Ukraine, compressing real incomes; (iii) 700,000-person rise in long-term sickness reducing labour supply; (iv) monetary tightening reducing AD (Figure 2, Bank Rate rising from 0.1% to 5.25%); (v) Brexit reducing openness to trade and investment.

Evaluation: weight of each factor is contested — demand- and supply-side factors interact; UK recovery is slow relative to the US but less weak than Germany's.

6(b) — Supply-side vs demand-side policy for trend growth (8 marks)

Indicative content (KAA 5 / Eval 3). Treat as 'examine' — structured argument with at least one supporting chain and one counter.

Case for supply-side: only supply-side policy raises LRAS and potential output (trend growth). Education, R&D, infrastructure, planning reform, skills training. Demand-side policy only closes negative output gaps in the short run; it cannot raise trend growth sustainably (the neoclassical long-run view).

Case for demand-side: persistent demand deficiency (hysteresis) can erode productive capacity; Keynesian view holds that strong demand stimulates investment, which is the main driver of capital-stock growth. Monetary-fiscal coordination matters in deep recessions.

Judgement: supply-side is necessary but not sufficient for trend growth; best delivered in combination with stable demand management. Current UK diagnosis (low productivity, low investment) points to supply-side emphasis.

6(c) — Impact of long-term sickness on UK recovery (10 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Extract C: 1.2 pp rise in economic inactivity since 2019; over half from long-term sickness. • Direct effect on labour supply: 700,000 fewer workers → lower potential output → lower LRAS. • Wage pressure: tighter labour market contributed to persistent pay growth even with weak AD. • Fiscal channel: higher welfare spending, lower tax receipts — worsens deficit. • NHS waiting lists (7.4m) link backlog to labour-supply problem — policy complementarity. • Productivity: workers on reduced hours or suboptimal roles reduce measured output per worker.	• Hard to separate sickness effect from broader demographic and cultural trends. • Some of the inactivity may be temporary — cyclical rather than structural. • Other factors matter more: Brexit trade effects; weak business investment; energy shock. • International comparisons: other advanced economies saw similar post-pandemic trends. • Judgement: long-term sickness is a material but not exclusive driver of weak recovery; addressing it is necessary but insufficient. Supply-side health spending (NHS capacity, mental-health services, Access to Work) would have clear growth dividends.

6(d) — Macroeconomic effects of Bank Rate rising 0.1% → 5.25% (12 marks)

Diagram required: AD/AS showing contractionary AD shift; OR interest-rate monetary-transmission channels.

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Transmission to market rates: mortgage rates rose from ~2% to >6% (Extract B). • Affordability shock for ~1.6m re-fixing households in 2024; monthly payments up £240–£400. • AD effects: lower consumption via debt-service effect; lower housing-market activity; lower investment. • Inflation response: CPI fell from 11.1% (Oct 2022) peak to 2.6% by 2024 — policy 'worked' in returning inflation to target. • Exchange-rate channel: supported sterling relative to a no-hike counterfactual, helping disinflation via import prices. • Diagram: AD shifts left from AD₁ to AD₂; new equilibrium at lower real output and lower price level (or slower rise in price level).	• Sacrifice ratio: growth held back; UK below pre-pandemic trend by 4.7% in 2024 (Figure 1). • Transmission lags mean the full output effects appeared gradually. • Distributional impact: young mortgage-holders bore a disproportionate share of the adjustment. • Alternative causes of disinflation: falling energy prices; supply-chain normalisation. • Judgement: tightening was a necessary response to a 9.1% inflation reading, but the combined monetary-fiscal stance was probably too tight for the recovery. Cutting earlier or more gradually could have preserved more output. Net, effective on inflation but costly for real activity.

6(e) — Public borrowing to fund a one-off rise in public investment (15 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Case FOR: public investment raises both AD in the short run (Keynesian multiplier effect) and LRAS in the long run (if infrastructure/skills raise productivity). • Multiplier typically larger for public investment than for current spending or tax cuts. • Low real interest rates (in the post-GFC period and parts of 2020–21) meant financing was cheap. • UK stock of public investment has lagged G7 peers — diminishing returns suggest marginal project returns are high. • Crowding-in possible if private firms see a more productive economy. • Diagram: AD shifts right short-run; LRAS shifts right long-run (the 'twin shift' analysis).	• Case AGAINST: crowding-out of private investment if the economy is near capacity; rising gilt yields raise the cost of private borrowing. • Bank Rate is high (Figure 2) — not a low-rate environment; financing costs matter. • Risk of inflationary pressure returning at a time when inflation has only just been returned to target. • Implementation risk: UK record of capital-project delivery (HS2, Hinkley Point C) is poor. • Debt sustainability: UK net debt already ~95% of GDP; bond vigilantes may raise risk premium. • Judgement: a well-designed, well-targeted one-off investment package can generate both short-run demand support and long-run supply benefits, but the current environment (elevated debt, high interest rates, tight capacity in some sectors) raises the cost and delivery risk. Justifiable only for projects with robust BCRs and credible

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
	fiscal framing.

Section C — Question 7 OR Question 8 (25 marks)

Question 7 — Multi-year freeze on the income-tax personal allowance (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Definition: 'fiscal drag' — frozen nominal thresholds with rising nominal wages pull more workers into the tax net and push others into higher bands. • Effects on AD: higher average tax burden → lower disposable income → lower consumption → AD shifts left. • Effects on labour supply: raises effective marginal tax rates at the personal-allowance threshold, reduces incentive to work or take additional hours. • Fiscal impact: substantial revenue-raising — OBR estimates in tens of billions of pounds per year depending on horizon. • Distributional: hits lower earners as a proportion of income; affects more workers as nominal wages rise. • Diagram: AD/AS with leftward AD shift; or labour-supply curve shifting left due to disincentive.	• Revenue helps reduce borrowing — supports fiscal sustainability. • Less distortionary than raising marginal tax rates directly — 'stealth' element may reduce behavioural response. • Counter: creates fiscal illusion; erodes progressivity unintentionally. • Effect magnitude depends on nominal wage growth — front-loaded if wages rise quickly. • Interaction with inflation: real value of the personal allowance erodes — a de facto tax rise without legislation. • Judgement: effective in raising revenue and reducing borrowing; macroeconomic effect modestly contractionary; distributional impact regressive. Better targeted alternatives (property tax reform, wealth-tax variants, closing reliefs) may offer similar revenue with fewer work-incentive effects.

Question 8 — Stronger inflation-targeting mandate for the Bank of England (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Current framework: BoE has operational independence with a 2% CPI target; MPC sets Bank Rate. • Case FOR stronger mandate: lower and more stable inflation expectations; lower risk premium on government debt; more credible policy commitment (time-inconsistency resolved, Kydland-Prescott). • Theoretical foundation: expectations-augmented Phillips curve — credible central bank lowers inflation without large output sacrifice. • International evidence: countries with independent, inflation-targeting central banks had lower average inflation through 1990s–2010s. • Diagrams: Phillips curve (SRPC shift); Taylor-rule framework.	• Counter: narrow inflation mandate may neglect employment / financial-stability objectives. • Dual/hierarchical mandates (Fed, RBA) have delivered similarly good outcomes. • 2021–2023 inflation episode primarily supply-driven — hard for any central bank to respond without imposing high output costs. • Tighter mandate cannot address structural causes of persistent inflation: energy dependence, labour-supply constraints. • Risk of 'monetary-policy dominance' and insufficient fiscal coordination in crises (the zero-lower-bound problem). • Judgement: stronger mandate unlikely to deliver large marginal gains over current flexible inflation-targeting regime. Higher returns to complementary reforms: better

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
	data, better communication, greater scrutiny of policy framework rather than tightening the rule.

TOTAL FOR PAPER = 100 MARKS